

STRATEGY OVERVIEW

The strategy centres around selling out-of-the-money (OTM) call and put options. *This approach mitigates some of the inherent risks associated with at-the-money (ATM) options.* Initiating the strategy at 9:30 a.m., we sell the OTM call and put options simultaneously. To protect the position, we set a combined stoploss of 40 points.

Options

28SEP2023

19800

CE

Select Segment

Select Expiry

Select Option Strike

Select Option Type

☐ Buy
 ☒ Sell

Lot Qty:

Option Price: 78.4

Option IV: 8.96

ADD POSITION

Combined SL - 40

ADD POSITION

Options

28SEP2023

19800

PE

Select Segment

Select Expiry

Select Option Strike

Select Option Type

☐ Buy
 ☒ Sell

Lot Qty:

Option Price: 361.85

Option IV: 8.71

ADD POSITION

EXECUTION AND EXIT

Upon selling the call and put options, we calculate the total premium received.

Estimated Margin / Premium ₹100

For instance, if the call and put options each provide a premium of 100 points, the total premium collected amounts to 200 points. We will exit the trade only when the combined premium reaches 240 points. This exit rule ensures that we capture profits during significant directional moves in the market. We hold the position until 3:15 p.m., adhering to our planned exit time.

240

Enter Exit Price

CLOSE

MODIFY

3 : 15 PM